3.4 profit

1. If accounting profit is greater than zero for a firm in a competitive industry, then which of the following must be true?

(A) The firm has no fixed cost.

(B) The firm has positive economic profit.

(C) The firm's total revenue exceeds its explicit cost.

(D) The firm's economic profit exceeds its opportunity cost.

(E) New firms will enter the industry in the long run.

2. Raheem is currently working as a financial analyst earning $\$75{,}000$ a year and is considering quitting his current job to start an art gallery. The estimated annual revenue from the art gallery is $\$175{,}000$. The annual cost of labor, advertising, and acquiring the art inventory is $\$125{,}000$. What are Raheem's accounting and economic profits if he opens the art gallery?

(A) Accounting profit is $-\$25,000$, and economic profit is $\$50,000$.

(B) Accounting profit is $\$100,000$, and economic profit is $\$50,000$.

(C) Accounting profit is $\$50,000$, and economic profit is $-\$25,000$.

(D) Accounting profit is $\$100,000$, and economic profit is $-\$25,000$.

(E) Accounting profit is $\$50,000$, and economic profit is $\$100,000$.

3. Which of the following is ignored when calculating accounting profit?

(A) Total revenue

(B) Variable costs

(C) Implicit costs

(D) Fixed costs

(E) Total costs

4. Which of the following statements regarding accounting profits, opportunity costs, and economic profits is true?

(A) With positive opportunity costs, a firm can never earn economic profits.

(B) Accounting profits are equal to economic profits minus opportunity costs.

(C) If accounting profits are less than opportunity costs, there will be economic losses.

(D) Economic profits must always be greater than accounting profits.

(E) When economic profits are positive, accounting profits may be positive or negative.

5. A firm produces 400 books and sells each book for $15. If the explicit cost of producing the books is $4,500 and the implicit cost is $1,000, the firm's economic profit is

(A) $0

(B) $500

(C) $1,000

(D) $1,500

(E) $5,000

6. An entrepreneur has earned enough total revenue to cover her accounting costs, but economic losses are being incurred. What must be true?

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(A) Her accounting costs are larger than her economic costs.
(B) Her accounting profits are less than her implicit costs.
(C) Her accounting profits are greater than her economic costs.
(D) Her economic losses are less than her total fixed costs.
(E) Her implicit costs are less than her accounting costs.

Bruce is a talented writer and graphic artist who enjoys both types of work equally. Instead of earning $45,000 as a writer, Bruce now earns $25,000 in accounting profits as a graphic artist using the same computer equipment he would have used as a writer.

7. What is Bruce's economic profit from choosing to work as a graphic artist?

(A) -$45,000
(B) -$20,000
(C) $20,000
(D) $45,000
(E) $70,000

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8. Shelby is an entrepreneur who has decided to open a small advertising firm. She rents office space at a cost of $25,000 per year, she has employed an assistant at a salary of $30,000 per year, and she incurs annual utility and office supply expenses of $20,000. Her best alternative is to work elsewhere and to earn a salary of $50,000 per year. How much annual revenue must her firm receive so that Shelby earns zero economic profit?

(A) $50,000
(B) $75,000
(C) $100,000
(D) $125,000
(E) $150,000

9. Habib withdrew $100,000 from his bank account paying 5% interest to purchase equipment for his construction company. If Habib earns an accounting profit of $10,000 and he has no other opportunity costs, his economic profit will be equal to

(A) $0
(B) $5,000
(C) $15,000
(D) $105,000
(E) $115,000

The following questions are based on the table provided.

The table provided shows a firm's average fixed cost (AFC), total variable cost (TVC), and total economic profit at different levels of output in units.

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Output	AFC	TVC	Profit
50	$20		
200		$1,600	$1,000

10. If the marginal revenue of the 201st unit of output is $15 and the marginal cost of the 201st unit is $20, the total economic profit of producing 201 units will be

(A) $995
(B) $1,000
(C) $1,005
(D) $1,015
(E) $1,035

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11. Dylan recently quit his job as a journalist for a local newspaper where he was making $80,000 per year. He opened an ice-cream shop where he earns a yearly total revenue of $250,000. He spends $150,000 each year on rent, resources, and workers he hires. Which of the following equals Dylan's accounting profit and economic profit from the ice-cream shop?

	Accounting Profit	Economic Profit
A	$250,000	$20,000
B	$230,000	$100,000
C	$150,000	$70,000
D	$100,000	$80,000
E	$100,000	$20,000

(A) A
(B) B
(C) C
(D) D
(E) E

Jamal quits a job that was paying him $30,000 per year and decides to start his own business. He runs his business out of his house in a room he had been renting to his colleague for $12,000 a year. Jamal withdraws the $20,000 in his savings account that had been earning him a 10 percent annual interest to purchase computers and related accessories and equipment for the business. During the first year of operation, Jamal's business incurred $30,000 in explicit costs and generated $60,000 in total sales.

12. Jamal's economic profit is

(A) $30,000
(B) $17,000
(C) $0
(D) − $2,000
(E) − $14,000

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13. Assume Nadia voluntarily leaves a job with a salary of $100 per day to open and run a restaurant instead. After deducting all explicit costs from the restaurant revenues, Nadia has a gain of $120. Assuming there are no additional implicit costs, which of the following statements is true?

(A) Nadia has an accounting profit of $20.

(B) Nadia has an accounting profit of $100.

(C) Nadia has an economic profit of $20.

(D) Nadia has an economic profit of $120.

(E) Nadia has an economic profit of −$20.

14. Kieran owns and operates his own bike shop. In the past week, a competitor offered to buy Kieran's bike shop for $100,000 and hire Kieran for $50,000 per year. Assume the annual interest rate is 6 percent, and Kieran's accounting profit from his bike shop is $60,000. Kieran's economic profit is

(A) −$96,000

(B) −$90,000

(C) $4,000

(D) $10,000

(E) $60,000

15. Economic profit can be calculated as accounting profit minus which of the following?

(A) Fixed costs

(B) Implicit costs

(C) Marginal costs

(D) Explicit costs

(E) Total costs

16. Instead of being employed at a printing company at a salary of $25,000 per year, Sally starts her own printing firm. Rather than renting a building that she owns to someone else for $10,000 per year, she uses it as the location for her company. Her costs for workers, materials, advertising, and energy during her first year are $125,000. If the total revenue from her printing company is $155,000, her total economic profit is

(A) -$5,000

(B) $5,000

(C) $20,000

(D) $30,000

(E) $120,000

17. Ryan quit a job with a daily salary and opened a business. On a daily basis, the total revenue of the business is $200, and the explicit costs of the business are $120. If Ryan has zero economic profits, what must be the value of Ryan's implicit costs?

(A) $0

(B) $80

(C) $120

(D) $200

(E) $280

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18. For a perfectly competitive firm, assume the price equals a rising marginal cost at 200 units of output. At this output, average total cost is $8 and average variable cost is $5. If the price is $4, by how much can this firm reduce its losses by shutting down?

(A) $800
(B) $600
(C) $400
(D) $200
(E) $100

19. Which of the following ignores implicit costs?

(A) Normal profit
(B) Accounting profit
(C) Economic profit
(D) Opportunity cost
(E) Economic cost